



Who Might Invest?

There are many types of investors who can help to finance your venture. You need to understand the implications of accepting each kind of investment, from making repayments to giving up a share of your profits.

How funding works

Any person, group, or organization willing to invest in your start-up can do so in one of two ways: by lending money to your business at a particular rate of interest, or by giving you a lump sum in return for shares in your new enterprise.

Many people, when considering loan investments, wrongly think that banks are the only potential lenders. In fact, anyone is legally allowed to lend you money so long as the loan is covered by a formal contractual agreement that sets out the amount being borrowed, the duration of the loan, the interest rate charged, and how much will be repaid each month.

The other funding option for a small business is called an equity investment—putting money into your venture in exchange for a say in the running of the business and a portion of its future profits. Once

again, financial institutions will not be the only ones attracted (or allowed) to put money into your business. Friends, family members, and business contacts are just

some of the potential investors who may want to help you get up and running and at the same time be rewarded by a share of profits in the form of annual dividends.



Family and friends

People close to you may be willing to assist, but funding by family and friends requires careful management.

PROS

- › **May offer useful advice** and expertise as well as funding
- › **More likely** to offer preferential interest rates on loans
- › **May be flexible** on repayment plans and dates

CONS

- › **Risk of damaging relationships** if things go wrong
- › **Discussing money** arrangements may be awkward
- › **Additional pressure** for the business to succeed



Peer-to-peer

Potential investors range from business colleagues and staff members to individuals on peer-to-peer (P2P) lending sites.

PROS

- › **Peers have a personal interest** in helping you succeed
- › **Peers will understand** the business environment of your start-up
- › **Interest rates** offered by peers are usually better than bank rates

CONS

- › **Risk of losing your reputation** should your business fail
- › **Disagreements with peers** over how to run the business
- › **Your credit rating may suffer** if you apply via a P2P site

Types of investors

Traditionally, small businesses were funded primarily by banks or perhaps wealthy relatives, but today the ranks of investors run from individuals with spare cash to groups of professional investors who specialize in funding start-ups with good growth prospects. Many countries have government agencies that assist new ventures via direct funding, providing grants, or linking them with potential investors.



Crowdfunding

Through crowdfunding, you can reach a global audience for either a loan or a stake in the business.

PROS

- › **Wide pool of potential investors** can be targeted online
- › **Can raise money quickly**, and you control the terms of the funding
- › **Funding appeal might go viral** and raise more cash than expected

CONS

- › **May be more demanding**, since funders do not know you personally
- › **You must reimburse investors** if you fail to reach your funding target
- › **Fierce online competition** for investors' funding